



Microeconomics

DEMAND

Chapter 3 | Lecture 3

$P \uparrow \quad D \downarrow$

$P \downarrow \quad D \uparrow$

Law of Demand

EXCEPTIONS TO LAW OF DEMAND

In certain special circumstances the Law of Demand fails i.e. rise in price may increase the demand.

Giffen Goods

These are special kind of inferior goods on which the consumer spends a large part of his income and their demand rises with an increase in price and demand falls with decrease in price.

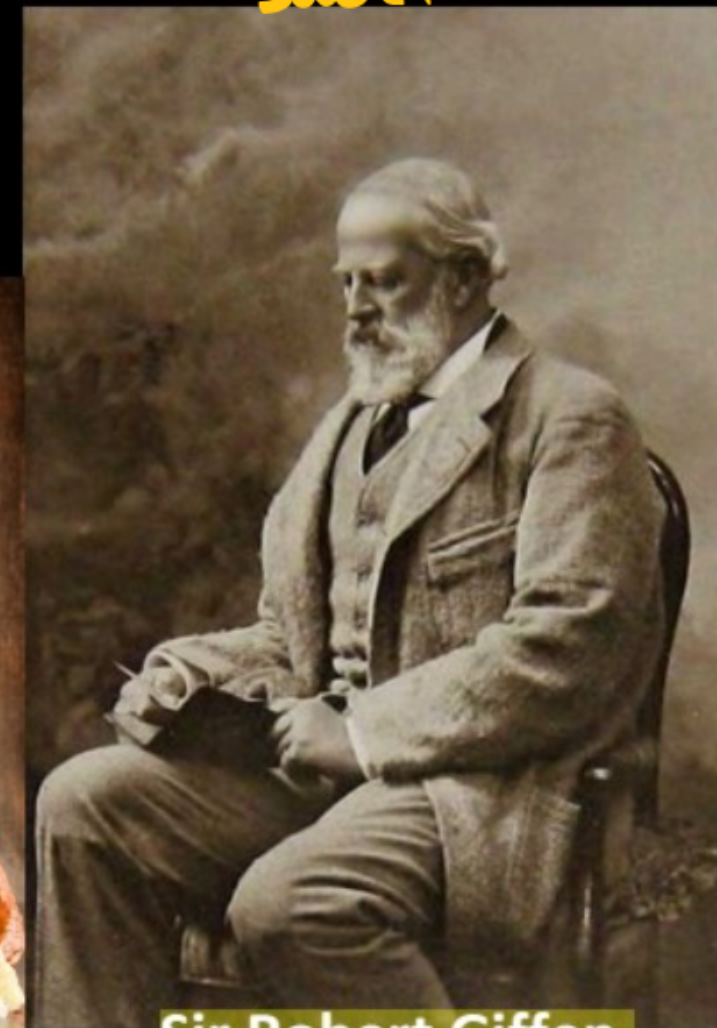
cheap

$P \uparrow D \downarrow X$ $P \uparrow D \uparrow$
 $P \downarrow D \downarrow$

Meat
Wine
Bread



Dal
Roti
Subzi



Sir Robert Giffen

EXCEPTIONS TO LAW OF DEMAND

Fashion related goods

Goods related to fashion do not follow the law of demand and their demand increases even with a rise in their prices.

$P \uparrow D \uparrow$

₹1000
1200
1300
1400



Magnolia

Prableen



EXCEPTIONS TO LAW OF DEMAND

Fear of Shortage

If the consumers expect a shortage or scarcity of a particular commodity in the near future, they would start buying more and more of that commodity in the current period even if their prices are rising.

$P \uparrow D \uparrow$



EXCEPTIONS TO LAW OF DEMAND

₹ 80 / kg.

Ignorance

Consumers may buy more of a commodity at a higher price when they are ignorant of the prevailing prices of the commodity in the market.

$P \uparrow D \uparrow$ X



₹ 20

EXCEPTIONS TO LAW OF DEMAND

Veblen Goods

Status Symbol Goods or Goods of Ostentation

The exception relates to certain prestige goods which are used as status symbols.



EXCEPTIONS TO LAW OF DEMAND

Necessities of Life

Another exception occurs in the use of such commodities, which become necessities of life due to their constant use.



रु 1k
रु 5k P↑ D↑

EXCEPTIONS TO LAW OF DEMAND

Change in Weather

With change in season/weather, demand for certain commodities also changes, irrespective of any change in their prices.



45 degree
C



PT DT



SWEATER X



LUNGI

Change in Quantity
Demanded

→ change in Price
Keeping other factors
Constant.

The diagram consists of two large red circles. The left circle contains a yellow-outlined box with the text 'Change in Quantity Demanded'. The word 'Quantity' is enclosed in a green box. A green arrow points from the bottom of this box to the text 'change in Price', which is underlined in green. Below this, the text 'Keeping other factors Constant.' is written in green. A white arrow points from the top left towards the yellow box. The right circle contains a yellow-outlined box with the text 'Change in Demand'. A pink arrow points from the bottom of this box to the text 'change in other factors', which is underlined in pink. Below this, the text '→ keeping the Price constant' is written in pink. A white arrow points from the top right towards the yellow box. There are additional red scribbles above the right circle.

Change in
Demand

→ change in other factors
→ keeping the Price constant

CHANGE IN QUANTITY DEMANDED VS CHANGE IN DEMAND

- **Change in Quantity Demanded:**

- Quantity demanded refers to specific quantity to be purchased against specific price of the commodity. Whenever demand for the given commodity changes due to change in its own price, then such change in demand is known as "Change in Quantity Demanded". For example, if demand for Pepsi changes due to change in its own price, then such change in demand for Pepsi is known as change in quantity demanded.



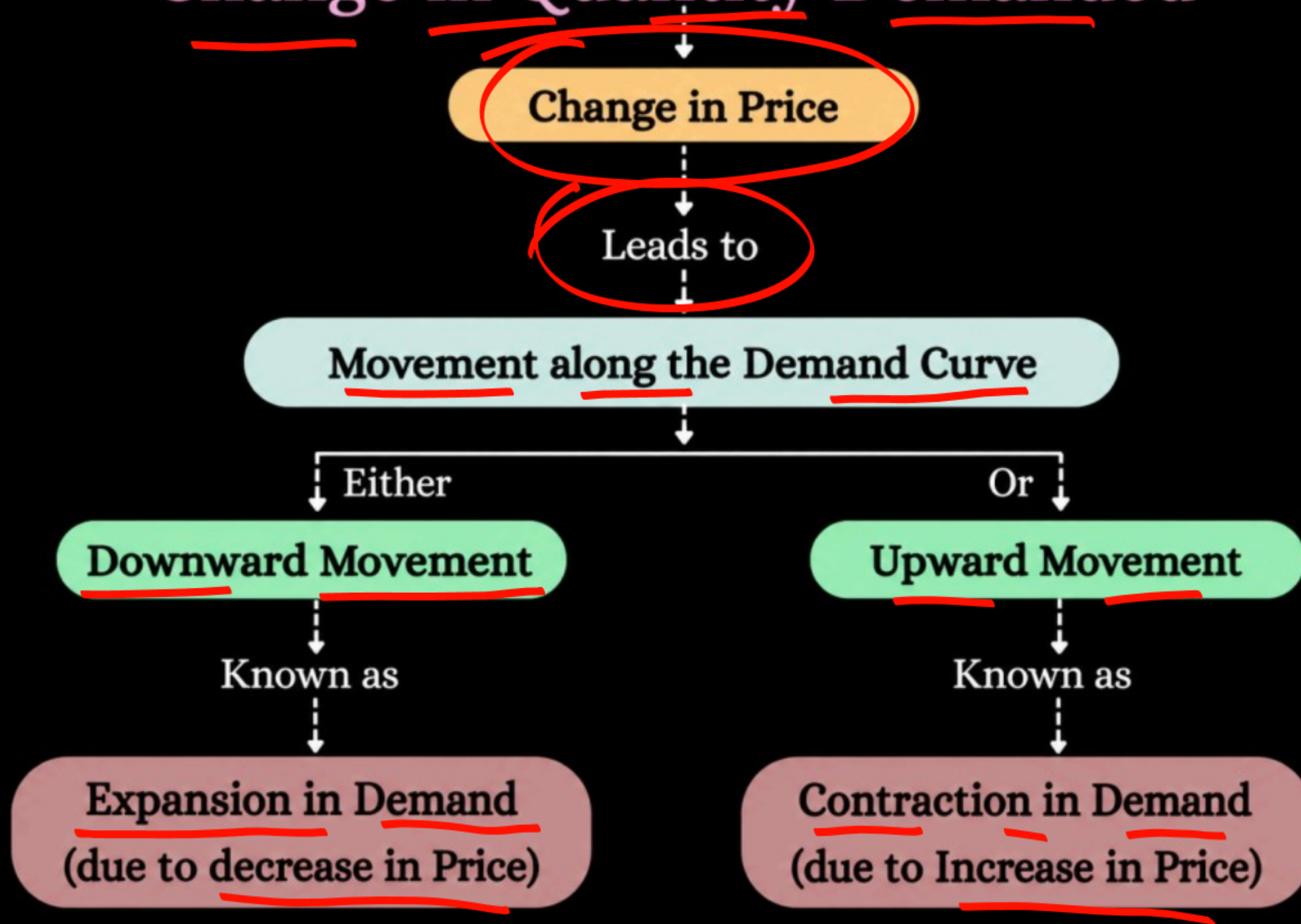
CHANGE IN QUANTITY DEMANDED VS CHANGE IN DEMAND

- **Change in Demand:**

- Whenever demand for the given commodity changes due to factors other than price, then such change in demand is known as "Change in Demand". For example, if demand for Pepsi changes due to change in price of Coke or due to change in income or due to a change in taste, then such change in demand for Pepsi is known as change in demand.



Change in Quantity Demanded



Expansion in Demand

Expansion in Demand refers to Rise in Qty. demanded due to Fall in the Price of a commodity, keeping other factors constant.

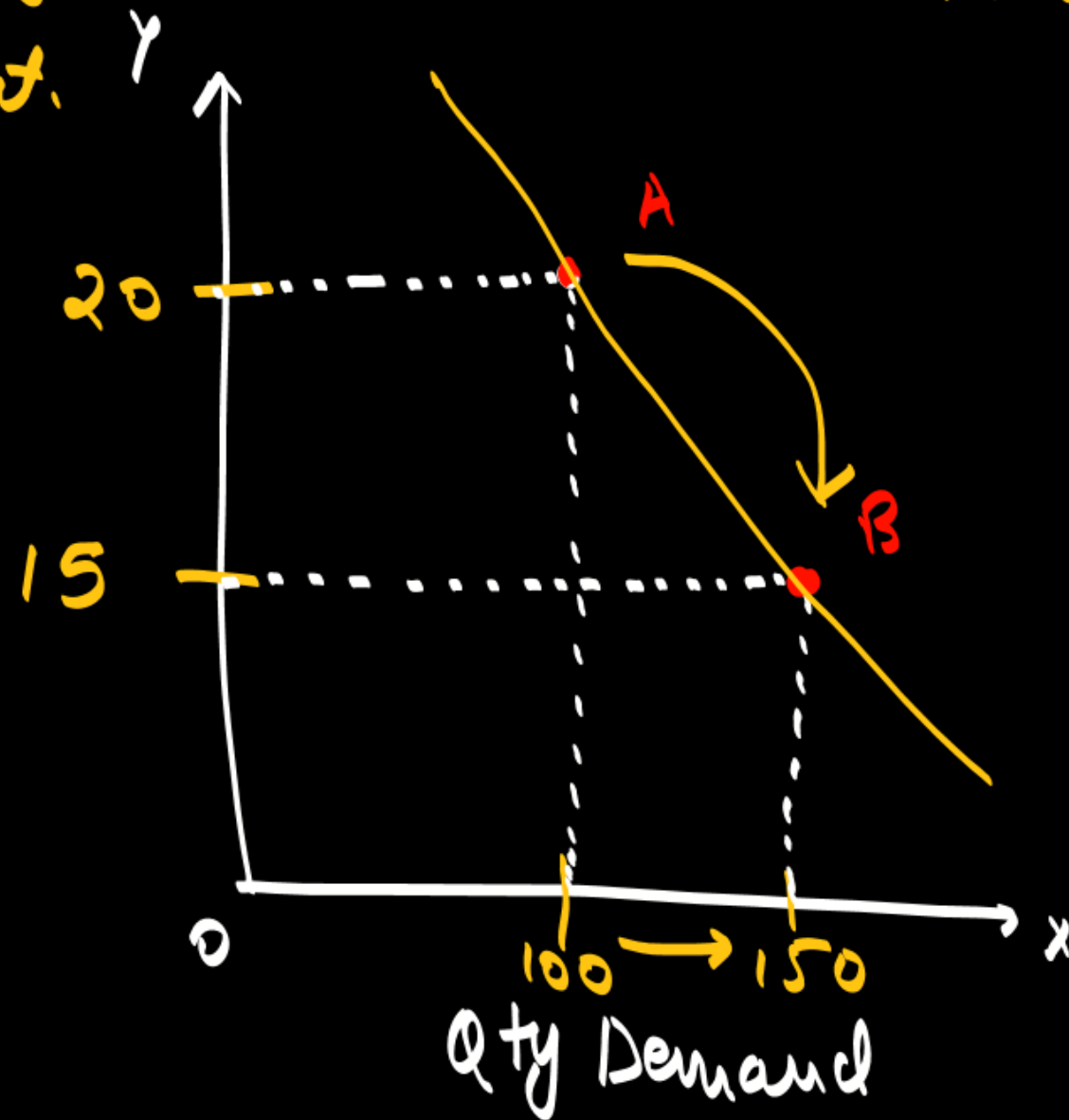


Price	Qty
₹20	100
₹15	150

$P \downarrow$

$D \uparrow$

Price



Other Name:

- Downward Movement along the same curve
- Extension in Demand
- Increase in Quantity Demanded.

Contraction in Demand

Contraction in Demand Refers to Fall in Quantity Demanded due to Rise in the Price of the Commodity, keeping other factors constant.



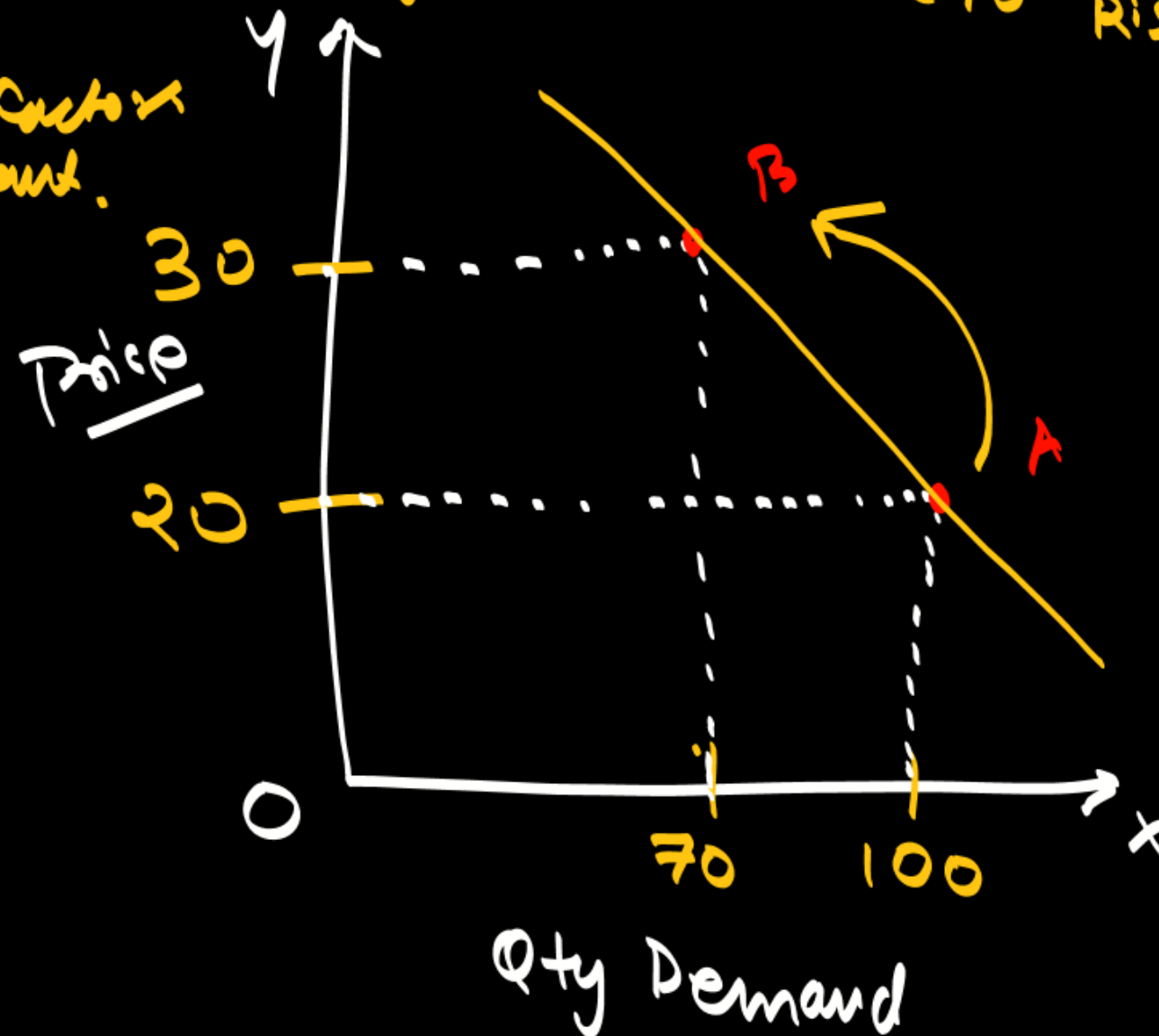
Price	Qty
₹ 20	100
₹ 30	70

$P \uparrow$

$D \downarrow$

A

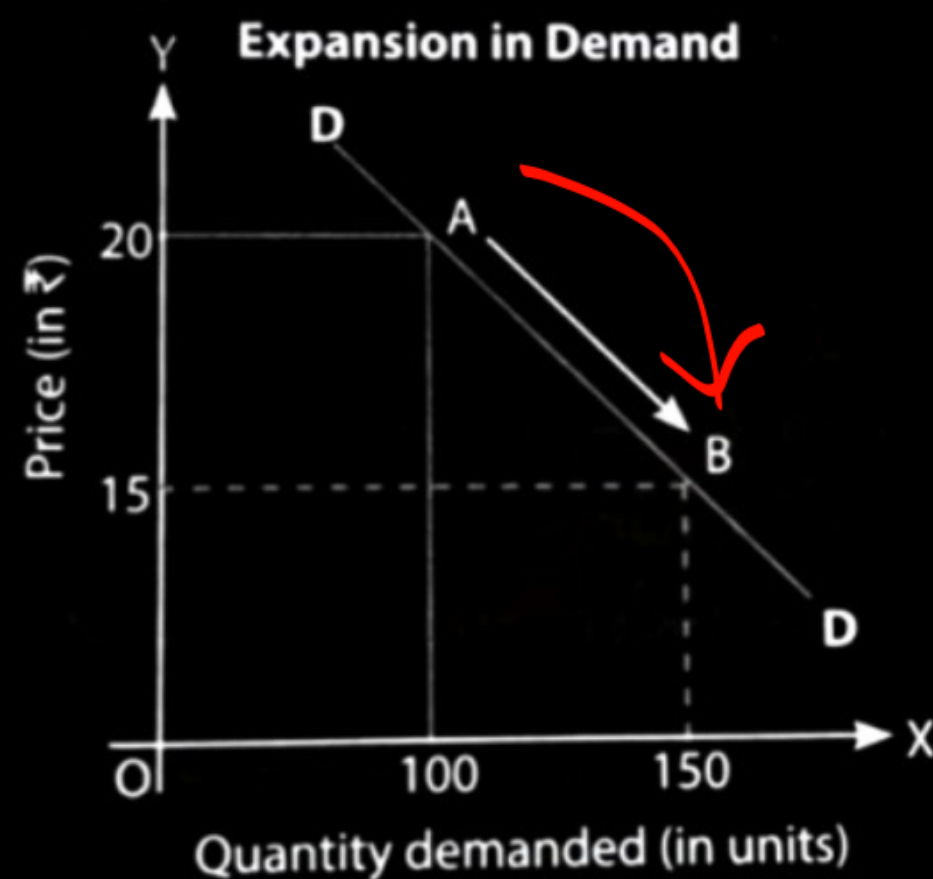
B



Other Names:

- Upward movement along the same curve
- Decrease in Quantity Demanded.

EXPANSION IN DEMAND



Expansion in demand refers to a rise in the quantity demanded due to a fall in the price of commodity, other factors remaining constant.

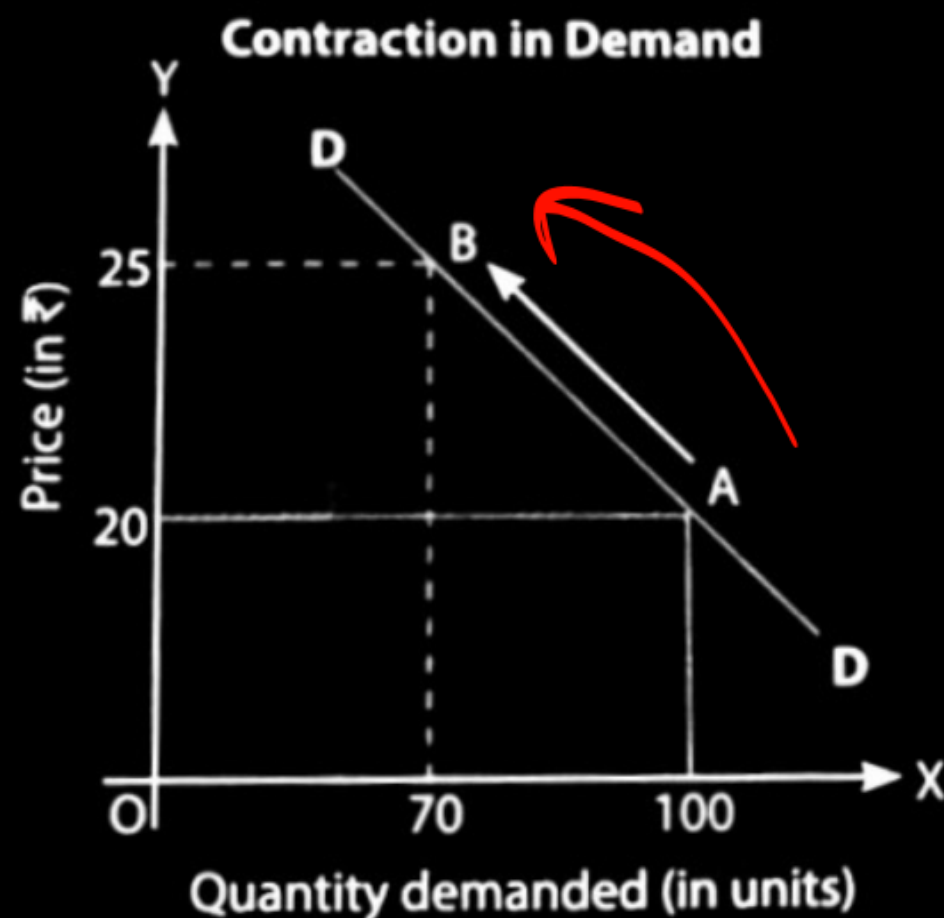
- It leads to a downward movement along the same demand curve.
- It is also known as 'Extension in Demand' or 'Increase in Quantity Demanded'.

Price in (₹)	Demand Unit
20	100
15	150

P↓

Q↑

CONTRACTION IN DEMAND



Contraction in demand refers to a fall in the quantity demanded due to a rise in the price of commodity, other factors remaining constant.

- It leads to an upward movement along the same demand curve.
- It is also known as 'Decrease in Quantity Demanded'.

Price in (₹)	Demand Unit
20	100
25	70

P ↑

D ↓

**THANK
YOU**

Stay Connected
KEEP LEARNING